

Vinhomes Joint Stock Company

Interim consolidated financial statements

Quarter I 2020

Vinhomes Joint Stock Company

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Vinhomes Joint Stock Company

GENERAL INFORMATION

THE COMPANY

Vinhomes Joint Stock Company ("the Company") is a joint stock company incorporated under the Law of Enterprise of Vietnam pursuant to the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. The Company subsequently also received amended Enterprise Registration Certificates with the 29th amendment dated 20 April 2020 as the latest.

The current principal activities of the Company are to develop real estate property for sale, provide leasing of offices, render real estate management and related services, provide general contractor services, consulting and designing construction services, supervision and construction management services.

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam.

Vingroup JSC is the Company's parent. Vingroup JSC and its subsidiaries are hereby referred to as the Group.

BOARD OF DIRECTORS

Members of the Board of Directors during the period and at the date of this report are:

Ms. Nguyen Dieu Linh	Chairwoman
Mr. Pham Nhat Vuong	Member
Mr. Nguyen Viet Quang	Member
Ms. Cao Thi Ha An	Member
Mr. Varun Kapur	Independent member
Mr. Mueen Uddeen	Independent member

SUPERVISORY BOARD

Members of the Supervisory Board during the period and at the date of this report are:

Mr. Pham Khoi Nguyen	Head of the Supervisory Board
Ms. Doan Thi Thu Mai	Member
Ms. Le Thi Duyen	Member

Vinhomes Joint Stock Company

GENERAL INFORMATION (continued)

MANAGEMENT

Members of the Management during the period and at the date of this report are:

Mr. Pham Thieu Hoa	Chief Executive Officer	
Mr. Douglas John Farrell	Deputy Chief Executive Officer	
Ms. Nguyen Ngoc Thuy Linh	Deputy Chief Executive Officer	
Mr. Nguyen Duc Quang	Deputy Chief Executive Officer	
Mr. Pham Van Khuong	Deputy Chief Executive Officer	
Ms. Phi Thi Thuc Nga	Deputy Chief Executive Officer	Resigned on 15 April 2020
Mr. Nguyen Van Trai	Deputy Chief Executive Officer	Resigned on 20 April 2020
Mr. Nguyen Vu Hung	Deputy Chief Executive Officer	Appointed on 20 April 2020

LEGAL REPRESENTATIVES

The legal representatives of the Company:

- ▶ up to 19 April 2020 are Ms. Nguyen Dieu Linh – Chairwoman, Mr. Pham Thieu Hoa – Chief Executive Officer, Mr. Nguyen Van Trai – Deputy Chief Executive Officer and Mr. Pham Van Khuong – Deputy Chief Executive Officer;
- ▶ from 20 April 2020 to the date of this report are Ms. Nguyen Dieu Linh – Chairwoman, Mr. Pham Thieu Hoa – Chief Executive Officer, Mr. Nguyen Vu Hung – Deputy Chief Executive Officer and Mr. Pham Van Khuong – Deputy Chief Executive Officer;

Ms. Le Thi Hai Yen, Chief Financial Officer, is authorised to sign the accompanying financial statements in accordance with the Letter of Authorisation No. 064/2019/GUQ-TGD-VH dated 26 July 2019.

Vinhomes Joint Stock Company

REPORT OF MANAGEMENT

Management of Vinhomes Joint Stock Company ("the Company") is pleased to present this report and the interim consolidated financial statements of the Company and its subsidiaries for the three-month period ended 31 March 2020.

MANAGEMENT'S RESPONSIBILITY IN RESPECT OF THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the interim consolidated financial statements of each financial period which give a true and fair view of the interim consolidated financial position of the Company and its subsidiaries and of the interim consolidated results of its operations and its interim consolidated cash flows for the period. In preparing those interim consolidated financial statements, management is required to:

- ▶ select suitable accounting policies and then apply them consistently;
- ▶ make judgements and estimates that are reasonable and prudent;
- ▶ state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the interim consolidated financial statements; and
- ▶ prepare the interim consolidated financial statement on the going concern basis unless it is inappropriate to presume that the Company and its subsidiaries will continue its business.

Management is responsible for ensuring that proper accounting records are kept which disclose, with reasonable accuracy at any time, the interim consolidated financial position of the Company and its subsidiaries and to ensure that the accounting records comply with the applied accounting system. It is also responsible for safeguarding the assets of the Company and its subsidiaries and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Management confirmed that it has complied with the above requirements in preparing the accompanying interim consolidated financial statements.

STATEMENT BY MANAGEMENT

Management does hereby state that, in its opinion, the accompanying interim consolidated financial statements give a true and fair view of the interim consolidated financial position of the Company as at 31 March 2020 and of the interim consolidated results of its operations and its interim consolidated cash flows for three-month period then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the interim consolidated financial statements.

For and on behalf of management:



Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

27 April 2020

INTERIM CONSOLIDATED BALANCE SHEET
as at 31 March 2020

Currency: Million VND

Code	ASSETS	Notes	31 March 2020	31 December 2019
100	A. CURRENT ASSETS		141,421,460	139,555,054
110	I. Cash and cash equivalents	4	4,439,856	13,332,299
111	1. Cash		993,105	2,788,220
112	2. Cash equivalents		3,446,751	10,544,079
120	II. Short-term investments	5	353,741	360,611
123	1. Held-to-maturity investments		353,741	360,611
130	III. Current accounts receivable		53,058,225	47,467,976
131	1. Short-term trade receivables	6.1	9,964,296	8,811,344
132	2. Short-term advances to suppliers	6.2	9,339,081	8,802,736
135	3. Short-term loan receivables	7	16,910,092	16,507,454
136	4. Other short-term receivables	8	16,964,063	13,465,638
137	5. Provision for doubtful short-term receivables	9	(119,307)	(119,196)
140	IV. Inventories		61,642,053	60,296,848
141	1. Inventories	10	61,648,573	60,306,616
149	2. Provision for obsolete inventories	10	(6,520)	(9,768)
150	V. Other current assets		21,927,585	18,097,320
151	1. Short-term prepaid expenses	11	2,495,513	2,089,245
152	2. Value-added tax deductible	20	1,012,351	673,229
153	3. Tax and other receivables from the State	20	21,808	41,933
155	4. Other current assets	12	18,397,913	15,292,913

INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 31 March 2020

Currency: Million VND

Code	ASSETS	Notes	31 March 2020	31 December 2019
200	B. NON-CURRENT ASSETS		61,585,689	57,685,974
210	I. Long-term receivables		6,155,947	8,114,996
215	1. Long-term loan receivables	7	5,745,520	7,863,900
216	2. Other long-term receivables	8	410,427	251,096
220	II. Fixed assets		621,365	690,347
221	1. Tangible fixed assets	13	561,579	624,738
222	Cost		607,212	678,311
223	Accumulated depreciation		(45,633)	(53,573)
227	2. Intangible fixed assets		59,786	65,609
228	Cost		110,352	108,952
229	Accumulated amortisation		(50,566)	(43,343)
230	III. Investment properties	14	6,309,514	6,626,630
231	1. Cost		6,681,127	6,959,536
232	2. Accumulated depreciation		(371,613)	(332,906)
240	IV. Long-term assets in progress	16	28,996,763	28,212,527
242	1. Construction in progress		28,996,763	28,212,527
250	V. Long-term investments	17	2,952,950	773,312
253	1. Investments in other entities	17.1	2,738,270	558,632
255	2. Held-to-maturity investments	17	214,680	214,680
260	VI. Other long-term assets		16,549,150	13,268,162
261	1. Long-term prepaid expenses	11	2,515,339	2,511,706
262	2. Deferred tax assets		189,708	330,794
268	3. Other long-term assets	12	12,921,481	9,471,481
269	4. Goodwill	18	922,622	954,181
270	TOTAL ASSETS		203,007,149	197,241,028

INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 31 March 2020

Currency: Million VND

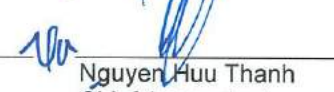
Code	RESOURCES	Notes	31 March 2020	31 December 2019
300	C. LIABILITIES		130,668,570	132,525,985
310	I. Current liabilities		121,111,829	121,556,854
311	1. Short-term trade payables	19.1	7,242,161	6,078,324
312	2. Short-term advances from customers	19.2	41,221,834	40,245,699
313	3. Statutory obligations	20	2,835,274	2,095,296
315	4. Short-term accrued expenses	21	8,887,438	7,839,911
318	5. Short-term unearned revenue	22	503,763	465,696
319	6. Other short-term payables	23	40,752,538	46,669,574
320	7. Short-term loans and debts	24	19,668,821	18,162,354
330	II. Non-current liabilities		9,556,741	10,969,131
333	1. Long-term accrued expenses	21	650,506	588,885
336	2. Long-term unearned revenue	22	1,461,641	1,534,550
337	3. Other long-term liabilities		78,956	90,376
338	4. Long-term loans and debts	24	6,957,612	8,343,025
341	5. Long-term deferred tax liabilities		270,303	270,303
342	6. Long-term provisions	25	137,723	141,992

INTERIM CONSOLIDATED BALANCE SHEET (continued)
as at 31 March 2020

Currency: Million VND

Code	RESOURCES	Notes	31 March 2020	31 December 2019
400	D. OWNERS' EQUITY		72,338,579	64,715,043
410	I. Capital	26	72,338,579	64,715,043
411	1. Share capital	26.1	33,495,139	33,495,139
411a	- Shares with voting rights		33,495,139	33,495,139
412	2. Share premium	26.1	295,000	295,000
415	3. Treasury shares	26.1	(5,549,929)	(5,549,929)
420	4. Other funds belonging to owners' equity	26.1	1,799,328	1,816,269
421	5. Undistributed earnings	26.1	32,883,509	26,039,678
421a	- Undistributed earnings by the end of prior year		26,039,678	4,277,445
421b	- Undistributed earnings of the period		6,843,831	21,762,233
429	6. Non-controlling interests	26.1	9,415,532	8,618,886
440	TOTAL LIABILITIES AND OWNERS' EQUITY		203,007,149	197,241,028


 Bui Tien Luc
Preparer


 Nguyen Huu Thanh
Chief Accountant


 Le Thi Hai Yen
Chief Financial Officer


Hanoi, Vietnam

27 April 2020

Currency: Million VND

Code	Items	Notes	Quarter I 2020	Quarter I 2019
01	1. Revenue from sale of goods and rendering of services	27.1	6,519,224	5,852,605
02	2. Deductions	27.1	-	-
10	3. Net revenue from sale of goods and rendering of services	27.1	6,519,224	5,852,605
11	4. Cost of goods sold and services rendered	28	(3,570,342)	(4,523,910)
20	5. Gross profit from sale of goods and rendering of services		2,948,882	1,328,695
21	6. Finance income	27.2	8,590,964	2,939,914
22	7. Finance expenses	29	(634,134)	(506,807)
23	<i>In which: Interest and bond issuance expenses</i>		(618,346)	(495,429)
25	9. Selling expenses	30	(244,860)	(232,894)
26	10. General and administrative expenses	30	(533,280)	(193,875)
30	11. Operating profit		10,127,572	3,335,033
31	12. Other income		23,986	31,768
32	13. Other expenses		(28,010)	(8,596)

Currency: Million VND

Code	Items	Notes	Quarter I 2020	Quarter I 2019
40	14. Other (loss)/profit		(4,024)	23,172
50	15. Accounting profit before tax		10,123,548	3,358,205
51	16. Current corporate income tax expenses	31	(2,337,395)	(573,865)
52	17. Deferred tax expenses	31	(141,088)	(97,291)
60	18. Net profit after tax		7,645,065	2,687,049
61	19. Net profit after tax attributable to shareholders of the parent		6,843,831	2,540,181
62	20. Net profit after tax attributable to non-controlling interests		801,234	146,868

Currency: VND

Code	Items	Notes	Quarter I 2020	Quarter I 2019
70	21. Basic earnings per share	33	2,080	758

Bui Tien Luc
Preparer

Nguyen Huu Thanh
Chief Accountant

Le Thi Hai Yen
Chief Financial Officer

Hanoi, Viet Nam
27 April 2020

Currency: Million VND

Code	ITEMS	Notes	Quarter I 2020	Quarter I 2019
	I. CASH FLOWS FROM OPERATING ACTIVITIES			
01	Profit before tax		10,123,548	3,358,205
	<i>Adjustments for:</i>			
02	Depreciation of tangible fixed assets and investment properties and amortisation of intangible fixed assets (including amortisation of goodwill)		92,399	83,476
03	Reversal of provisions		(7,407)	(96,683)
04	Foreign exchange loss arisen from revaluation of monetary accounts denominated in foreign currency		-	7
05	Profits from investing activities		(8,170,989)	(1,945,578)
06	Interest and bond issuance expenses		618,346	495,429
08	Operating profit before changes in working capital		2,655,897	1,894,856
09	Increase in receivables		(1,212,409)	(2,297,225)
10	(Increase)/decrease in inventories		(4,809,446)	54,927
11	Increase in payables (other than interest, corporate income tax)		3,271,322	15,178,229
12	Increase in prepaid expenses		(409,876)	(726,348)
14	Interest paid		(547,566)	(818,668)
15	Corporate income tax paid	20	(1,620,213)	(2,066,145)
20	Net cash flows (used in)/from operating activities		(2,672,291)	11,219,626

Currency: Million VND

Code	ITEMS	Notes	Quarter I 2020	Quarter I 2019
	II. CASH FLOWS FROM INVESTING ACTIVITIES			
21	Purchase and construction of fixed assets and other long-term assets		(2,430,529)	(2,370,141)
22	Proceeds from disposals of fixed assets and other long-term assets		97,286	-
23	Loans to other entities and payments for purchase of debt instruments of other entities		(5,441,490)	(376,240)
24	Collections from borrowers and proceeds from sale of debt instruments of other entities		7,240,181	1,888,954
25	Payments for investments in other entities (net of cash held by entity being acquired)		(6,517,590)	(13,478,695)
26	Proceeds from sale of investments in other entities (net of cash held by entity being disposed)		694,000	7,602,906
27	Interest and dividends received		52,727	3,840
30	Net cash flows used in investing activities		(6,305,415)	(6,729,376)
	III. CASH FLOWS FROM FINANCING ACTIVITIES			
33	Drawdown of borrowings		104,263	2,018,000
34	Repayment of borrowings		(19,000)	(7,636,606)
40	Net cash flows from/(used in) financing activities		85,263	(5,618,606)

Vinhomes Joint Stock Company
INTERIM CONSOLIDATED CASH FLOW STATEMENT (continued)
Quarter I 2020

B03a-DN/HN

Currency: Million VND

Code	ITEMS	Notes	Quarter I 2020	Quarter I 2019
50	Net decrease in cash and cash equivalents for the period		(8,892,443)	(1,128,356)
60	Cash and cash equivalents at the beginning of the period		13,332,299	3,515,372
70	Cash and cash equivalents at the end of the period	4	4,439,856	2,387,016


Bui Tien Luc
Preparer


Nguyen Huu Thanh
Chief Accountant


Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

27 April 2020

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS
Quarter I 2020**1. CORPORATE INFORMATION**

Vinhomes Joint Stock Company ("the Company") is a joint stock company incorporated under the Law of Enterprise of Vietnam pursuant to the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Enterprise Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. The Company subsequently also received amended Enterprise Registration Certificates with the 29th amendment dated 20 April 2020 as the latest.

The current principal activities of the Company are to develop real estate property for sale, provide leasing of offices, render real estate management and related services, provide general contractor services, consulting and designing construction services, supervision and construction management services.

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam.

The Company and its subsidiaries' normal course of business cycle of real estate development activity begins when the Company and its subsidiaries receive investment certificate, carries out land clearance and construction works until the project is completed. Accordingly, the normal course of business cycle of real estate development activity ranges from 12 months to 36 months.

The Company and its subsidiaries' normal course of business cycle of other activities is normally within 12 months.

The number of the Company's employees as at 31 March 2020: 7,993 (31 December 2019: 7,116).

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

1. CORPORATE INFORMATION (continued)

Corporate structure

As at 31 March 2020, the Company has 18 subsidiaries (as at 31 December 2019: 18 subsidiaries). The information on these subsidiaries, along with the Company's direct and indirect voting rights and direct and indirect equity interest in each subsidiary is as follows:

No.	Company	Voting rights (%)	Equity interest (%)	Registered office's address
1	Gia Lam Urban Development and Investment Limited Liability Company ("Gia Lam LLC") (i)	85.00	83.95	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco-Urban Area, Viet Hung Ward, Long Bien District, Hanoi
2	Ecology Development and Investment Joint Stock Company ("Ecology JSC") (i)	99.18	98.76	No. 191, Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi
3	Vietnam Investment and Consulting Investment Joint Stock Company ("Vietnam Investment JSC") (i)	69.50	68.64	No. 191, Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi
4	Can Gio Tourist City Corporation ("Can Gio JSC") (i)	99.89	98.56	No.72, Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City
5	Tay Tang Long Real Estate LLC ("Tay Tang Long LLC")	90.00	90.00	No.72, Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City
6	Berjaya Vietnam International University Township ("Berjaya VIUT LLC") (i)	97.90	88.17	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City
7	Royal City Real Estate Development and Investment JSC ("Royal City JSC")	57.85	57.85	No. 72A, Nguyen Trai Street, Thuong Dinh Ward, Thanh Xuan District, Hanoi
8	Lang Van Development and Investment JSC ("Lang Van JSC") (i)	99.00	95.82	No. 7, Truong Sa Street, Hoa Hai Ward, Ngu Hanh Son District, Da Nang City
9	Metropolis Hanoi LLC	100.00	100.00	HH land area, Pham Hung Street, Nam Tu Liem District, Hanoi

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

1. CORPORATE INFORMATION (continued)

Corporate structure (continued)

<i>No.</i>	<i>Company</i>	<i>Voting rights (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>
10	Berjaya Vietnam Financial Center LLC ("Berjaya VFC LLC") (i)	67.50	60.78	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City
11	Thai Son Investment and Construction JSC ("Thai Son JSC") (i)	100.00	90.06	No. 290, Nam Ky Khoi Nghia Street, Ward 8, District 3, Ho Chi Minh City
12	Millenium Trading Investment and Development LLC ("Millenium LLC")	100.00	100.00	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City
13	GS Cu Chi Development JSC ("GS Cu Chi JSC") (i)	100.00	99.89	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City
14	Phu Gia Property Trading Limited Liability Company ("Phu Gia LLC") (i) (ii)	98.00	96.79	No. 63, Hang Ga Street, Hang Bo Ward, Hoan Kiem District, Hanoi
15	An Thinh Trading and Commercial Development JSC ("An Thinh JSC")	85.00	85.00	20A Floor, Dong Khoi Vincom Center, No. 72 Le Thanh Ton, Ben Nghe Ward, District 1, Ho Chi Minh City
16	Green City Development JSC ("Green City JSC")	90.00	90.00	No.72, Le Thanh Ton Street, Ben Nghe Ward, District 1, Ho Chi Minh City
17	Delta JSC (i)	100.00	99.34	No. 110, Dang Cong Binh Street, Xuan Thoi Thuong Commune, Hooc Mon District, Ho Chi Minh City
18	Vinhomes Industrial Zone JSC (i)	100.00	95.10	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco-Urban Area, Viet Hung Ward, Long Bien District, Hanoi

(i) The equity interest in these subsidiaries differs from voting right since the Company controls over these subsidiaries indirectly through other subsidiaries.

(ii) This company is in the process of completing dissolution procedures.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**2. BASIS OF PREPARATION****2.1 Accounting standards and system**

The interim consolidated financial statements of the Company and its subsidiaries, which are expressed in million Vietnam dong ("million VND"), are prepared in accordance with Vietnamese Enterprise Accounting System and Vietnamese Accounting Standards issued by the Ministry of Finance as per:

- ▶ Decision No. 149/2001/QĐ-BTC dated 31 December 2001 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 1);
- ▶ Decision No. 165/2002/QĐ-BTC dated 31 December 2002 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 2);
- ▶ Decision No. 234/2003/QĐ-BTC dated 30 December 2003 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 3);
- ▶ Decision No. 12/2005/QĐ-BTC dated 15 February 2005 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 4); and
- ▶ Decision No. 100/2005/QĐ-BTC dated 28 December 2005 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 5).

Accordingly, the accompanying interim consolidated financial statements, including their utilisation are not designed for those who are not informed about Vietnam's accounting principles, procedures and practices and furthermore are not intended to present the interim consolidated financial position and interim consolidated results of operations and interim consolidated cash flows in accordance with accounting principles and practices generally accepted in countries other than Vietnam.

2.2 Applied accounting documentation system

The Company and its subsidiaries' applied accounting documentation system is the General Journal.

2.3 Fiscal year

The Company and its subsidiaries' fiscal year applicable for the preparation of its consolidated financial statements starts on 1 January and ends on 31 December.

2.4 Accounting currency

The interim consolidated financial statements are prepared in VND which is also the Company's accounting currency. For the purpose of presenting the interim consolidated financial statements as at 31 March 2020, the figures are rounded to the nearest millions and presented in millions of Vietnam dong ("million VND").

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

2. BASIS OF PREPARATION (continued)

2.5 Basis of consolidation

The interim consolidated financial statements comprise the financial statements of the Company and its subsidiaries for the three-month period ended 31 March 2020.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Company obtains control, and continued to be consolidated until such control ceases, except when the Company only obtain temporary control and the subsidiary is acquired with a view of resale within 12 months from acquisition.

The interim financial statements of subsidiaries are prepared for the same reporting period as the parent company, using consistent accounting policies.

All intra-company balances, income and expenses and unrealised gains or losses result from intra-company transactions are eliminated in full.

Non-controlling interests represent the portion of profit or loss and net assets of subsidiaries not held by the Company and are presented separately in the interim consolidated income statement and within equity in the interim consolidated balance sheet.

Impact of change in the ownership interest of a subsidiary, without a loss of control, is recorded in undistributed earnings.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an associate, the Company's investment is accounted for using the equity method of accounting. Profit/loss from this transaction is recognised in the interim consolidated income statement.

In case the Company disposes a partial interest in a subsidiary and loses control but retains an interest as an investment in other entities, the Company's investment is accounted for using the cost method. Profit/loss from this transaction is recognised in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES****3.1 Cash and cash equivalents**

Cash and cash equivalents comprise cash on hand, cash at banks, cash in transit and short-term, highly liquid investments with an original maturity of not longer than three months that are readily convertible into known amounts of cash and that are subject to an insignificant risk of change in value.

3.2 Inventories

Inventories are stated at the lower of cost incurred in bringing each product to its present location and condition, and net realisable value.

Net realisable value ("NRV") represents the estimated selling price in the ordinary course of business less the estimated costs to complete and the estimated costs necessary to make the sale.

Inventory property

Property acquired or being constructed for sale or to be held for long-term lease that meets the requirements of outright revenue recognition in the ordinary course of business, rather than to be held for rental or capital appreciation, is held as inventory property and is measured at the lower of cost and net realisable value.

Cost includes:

- ▶ Freehold and leasehold and development rights for land;
- ▶ Amounts payable/paid to contractors for construction; and
- ▶ Borrowing costs, planning and design costs, costs of site clearance and preparation, professional fees for legal services, property transfer taxes, construction overheads and other related costs.

Net realisable value is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less costs to completion and the estimated costs of sale.

The cost of inventory property recognised in the interim consolidated income statement on disposal is determined with reference to the specific costs incurred on the property sold and an allocation of any non-specific costs according to appropriate criteria.

Construction inventory

The Company and its subsidiaries use perpetual method to record raw materials and merchandise which are valued at cost of purchase on a weighted average basis.

Work in progress of construction contracts comprises costs of materials, labour costs, construction costs payable to sub-contractors and other related costs which have not been accepted by the investors at the date of the interim financial statements.

Provision for obsolete inventories

An inventory provision is created for the estimated loss arising due to the impairment of value (through diminution, damage, obsolescence, etc.) of raw materials, finished goods, and other inventories owned by the Company and its subsidiaries, based on appropriate evidence of impairment available at the consolidated balance sheet date.

Increases or decreases to the provision balance are recorded into the cost of goods sold account in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)****3.3 Receivables**

Receivables are presented in the interim consolidated financial statements at the carrying amounts due from customers and other debtors, after provision for doubtful debts.

The provision for doubtful debts represents amounts of outstanding receivables at the consolidated balance sheet date which are doubtful of being recovered. Increases or decreases to the provision balance are recorded as general and administrative expense in the interim consolidated income statement.

3.4 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation.

The cost of a tangible fixed asset comprises its purchase price and any directly attributable costs of bringing the tangible fixed asset to working condition for its intended use.

Expenditures for additions, improvements and renewals are added to the carrying amount of the assets and expenditures for maintenance and repairs are charged to the interim consolidated income statement as incurred.

When tangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.5 Leased assets

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset and the arrangement conveys a right to use the asset.

A lease is classified as a finance lease whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the asset to the lessee. All other leases are classified as operating leases.

Where the Company and its subsidiaries are the lessors

The net investment under finance lease contracts is included as a receivable in the interim consolidated balance sheet. The interest amount of the leased payments are recognised in the interim consolidated income statement over the period of the lease contracts to achieve a constant rate of interest on the net investment outstanding.

Assets subject to operating leases are presented as investment properties in the interim consolidated balance sheet. Initial direct costs incurred in negotiating an operating lease are recognised in the interim consolidated income statement as incurred.

Lease income is recognised in the interim consolidated income statement on a straight-line basis over the lease term.

Where the Company and its subsidiaries are the lessees

Rentals under operating leases are charged to the interim consolidated income statement on a straight-line basis over the lease term.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.6 Intangible fixed assets

Intangible fixed assets are stated at cost less accumulated amortisation.

The cost of an intangible fixed asset comprises its purchase price and any directly attributable costs of preparing the intangible fixed asset for its intended use.

Expenditures for additions, improvements are added to the carrying amount of the assets and other expenditures are charged to the interim consolidated income statement as incurred.

When intangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the interim consolidated income statement.

3.7 Depreciation and amortisation

Depreciation of tangible fixed assets and amortisation of intangible fixed assets are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Buildings and structures	15 - 48 years
Machinery and equipment	5 - 10 years
Means of transportation	6 - 15 years
Office equipment	3 - 5 years
Computer software	3 - 5 years
Others	2 - 5 years

3.8 Investment properties

Investment properties are stated at cost including transaction costs less accumulated depreciation.

Subsequent expenditure relating to an investment property that has already been recognised is added to the net book value of the investment property when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing investment property, will flow to the Company and its subsidiaries.

Depreciation of investment properties are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Definite land use right, buildings and structures	27 - 50 years
Machinery and equipment	7 - 10 years

The Company and its subsidiaries do not amortise indefinite land use rights presented as investment properties.

Investment properties are derecognised in the interim consolidated balance sheet when either they have been disposed of or when the investment properties are permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the assets is recognised in the interim consolidated income statement in the period of retirement or disposal.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)**3.8 *Investment properties* (continued)**

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale. The transfer from investment property to owner-occupied property or inventories does not change the cost or the carrying value of the property for subsequent accounting at the date of change in use.

3.9 *Borrowing costs*

Borrowing costs consist of interest and other costs that the Company and its subsidiaries incur in connection with the borrowing of funds.

Borrowing costs are recorded as expense during the period in which they are incurred, except to the extent that borrowing costs that are directly attributable to the acquisition, construction or production of an asset that necessarily take a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective asset.

3.10 *Prepaid expenses*

Prepaid expenses are reported as short-term or long-term prepaid expenses on the interim consolidated balance sheet and amortised over the period for which the amounts are paid or the period in which economic benefits are generated in relation to these expenses.

Short-term prepaid expenses include commission fees for selling apartments, villas and shophouses, provisional corporate income tax for downpayments from customers for the purchase of apartments, villas and shophouses at the Company and its subsidiaries' real estate projects and other prepaid expenses that are expected to generate future economic benefit within one ordinary course of business cycle.

Long-term prepaid expenses include pre-operation expenditure, tools and supplies, long-term prepaid land rental and other prepaid expenses that generate future economic benefits for more than one year.

Prepaid land rental

The prepaid land rental represents the remaining unamortised balance of advance payment made in accordance with the lease contract signed with the authorities. Such prepaid rental is recognised as a long-term prepaid expense and is amortised to the interim consolidated income statement over the remaining lease period according to Circular 45/2013/TT-BTC. Besides, prepaid land rental also comprises land lease incurred from business combination, in which, the acquiree is a lessee under operating leases with favourable lease terms compared with the fair value at the date of business combination.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)****3.11 Business combinations and goodwill**

Business combinations are accounted for using the purchase method. The cost of a business combination is measured as the fair value of assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange plus any costs directly attributable to the business combination. Identifiable assets and liabilities and contingent liabilities assumed in a business combination are measured initially at fair values at the date of business combination.

Goodwill acquired in a business combination is initially measured at cost being the excess of the cost the business combination over the Company and its subsidiaries' interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities. If the cost of a business combination is less than the fair value of the net assets of the subsidiary acquired, the difference is recognised directly in the interim consolidated income statement. After initial recognition, goodwill is measured at cost less any accumulated amortisation. Goodwill is amortised over 10-year period on a straight-line basis. The Company and its subsidiaries conduct the periodical review for impairment of goodwill of investment in subsidiaries. If there are indicators of impairment loss incurred is higher than the yearly allocated amount of goodwill on the straight-line basis, the higher amount will be recorded in the interim consolidated income statement.

Business combinations involving entities or businesses under common control

Business combinations involving entities or businesses under common control are accounted for as follows:

- ▶ The assets and liabilities of the two combined entities are reflected at their carrying amounts on the date of business combination;
- ▶ No goodwill is recognised from the business combination;
- ▶ The interim consolidated income statement reflects the results of the combined entities from the date of the business combination; and
- ▶ Any difference between the consideration paid and the net assets of the acquiree is recorded in equity.

After the date of business combination, if the Company and its subsidiaries transfer and lose control of investment in these entities, the difference between the cost of a business combination and net assets, which was previously recognised in owners' equity, is recognised in the interim consolidated income statement.

3.12 Assets acquisitions and business combinations

The Company and its subsidiaries acquire subsidiaries that own assets and production activities. At the date of acquisition, the Company and its subsidiaries consider whether the acquisition represents the acquisition of a business. The Company and its subsidiaries accounts for an acquisition as a business combination where an integrated set of activities is acquired in addition to the assets.

When the acquisition of subsidiaries does not represent a business combination, it is accounted for as an acquisition of a group of assets and liabilities. The cost of the acquisition is allocated to the assets and liabilities acquired based upon their relative fair values, and no goodwill or deferred tax is recognised.

In case prior to the date that control is obtained, the investment is an investment in associate or a long-term investment and the acquisition of the subsidiary is not a business combination, when preparing the interim consolidated financial statements, the parent company shall not remeasure the previously held equity interests. Instead previously held equity interests at carrying value and the consideration were allocated to the assets and liabilities acquired based on their relative fair values on acquisition date.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)****3.13 Investments***Held-for-trading securities and investments in other entities*

Held-for-trading securities and investments in other entities are stated at their acquisition costs.

Provision for diminution in value of the held-for-trading securities and investments in entities

Provision is made for any diminution in value of the held-for-trading securities and investments in capital of other entities at the balance sheet date. Increases or decreases to the provision balance are recorded as finance expense in the interim consolidated income statement.

Held-to-maturity investments

Held-to-maturity investments are initially stated at their acquisition costs. After initial recognition, held-to-maturity investments are measured at recoverable amount. Any impairment loss incurred is recognised as finance expense in the interim consolidated income statements and deducted against the value of such investments.

3.14 Payables and accruals

Payables and accruals are recognised for amounts to be paid in the future for goods and services received, whether or not billed to the Company and its subsidiaries. Payables to construction contractors are recognised for amounts certified by the construction work certificate signed with contractors, whether or not billed to the Company and its subsidiaries.

3.15 Provisions*General provision*

Provisions are recognised when the Company and its subsidiaries have a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

When the Company and its subsidiaries expects some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the interim consolidated income statement net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pretax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance expense.

Warranty provision for apartments and villas

The Company and its subsidiaries estimate provision for warranty expenses based on revenues and available information about the repair of inventory property sold in the past.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)****3.16 Foreign currency transactions**

Transactions in currencies other than the Company and its subsidiaries' reporting currency of VND are recorded at the actual transaction exchange rates at transaction dates which are determined as follows:

- ▶ Transactions resulting in receivables are recorded at the buying exchange rates of the commercial banks designated for collection;
- ▶ Transactions resulting in liabilities are recorded at the selling exchange rates of the commercial banks designated for payment; and
- ▶ Payments for assets or expenses without liabilities initially being recognised is recorded at the buying exchange rates of the commercial banks that process these payments or at the average of buying and selling exchange rates of the commercial bank where the Company and its subsidiaries make payment regularly.

At the end of the reporting period, monetary balances denominated in foreign currencies are translated at the actual transaction exchange rates at the interim consolidated balance sheet dates which are determined as follows:

- ▶ Monetary assets are translated at buying exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly; and
- ▶ Monetary liabilities are translated at selling exchange rate of the commercial bank where the Company and its subsidiaries conduct transactions regularly or at the average of buying and selling exchange rates of the commercial bank where the Company and its subsidiaries make payment regularly.

All foreign exchange differences incurred during the period and arisen from the translation of monetary accounts denominated in foreign currency at period-end are taken to the interim consolidated income statement.

3.17 Treasury shares

Own equity instruments which are reacquired (treasury shares) are recognised at cost and deducted from equity. No gain or loss is recognised in profit or loss upon purchase, sale, issue or cancellation of the Company's own equity instruments.

3.18 Appropriation of net profits

Net profit after tax (excluding negative goodwill arising from a bargain purchase) is available for appropriation to shareholders pursuant to decision of the Board of Directors (approved by the General Meeting of Shareholders), and after making appropriation to reserve funds in accordance with the Company's Charter and Vietnam's regulatory requirements.

3.19 Advances from customers purchasing apartments, villas and shophouses

Payments received from customers as deposits for purchasing apartments, villas and shophouses in the future, that do not meet the conditions for revenue recognition, are recognised and presented as "Advances from customers" in the liability section in the interim consolidated balance sheet. Incentives under promotion programs which are, in substance, revenue deductions are offset against account "Advance from customers" which are not qualified to be recognised as revenue for the period.

3.20 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and its subsidiaries and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, excluding trade discount, rebate and sales return. The following specific recognition criteria must also be met before revenue is recognised:

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)**3.20 Revenue recognition (continued)***Revenue from sale of inventory property*

Revenue from sale of inventory property is recognised when the significant risks and rewards incident to ownership of the properties have been passed to the buyer.

Revenue from sale of inventory property also includes long-term lease of investment property qualified for recognition of outright sales. If the lease term is greater than 90% of the asset's useful life, the Company and its subsidiaries recognise the revenue for the entire prepaid lease payment if all following conditions are met:

- ▶ Lessee is not allowed to cancel the lease contract during the lease term, and the lessor is not responsible for reimbursing the prepaid lease payments under any circumstances;
- ▶ The prepaid lease payment is not less than 90% of the total estimated lease payment collected under contract over the lease period and lessee must pay all rental within 12 months from the commencement of the lease;
- ▶ Almost all risks and rewards associated with the ownership of leased assets are transferred to the lessee; and
- ▶ Lessor must estimate the full cost of leasing activity.

Rental income

Rental income arising from operating lease of properties is recognised in the consolidated income statement on a straight-line basis over the lease term.

Rendering services

Revenue from rendering service is recognised when service is rendered for customers.

Interest

Income is recognised as the interest accrues (taking into account the effective yield on the asset) unless collectability is in doubt.

Dividends

Income is recognised when the Company and its subsidiaries' entitlement as an investor to receive the dividend is established.

Income from securities trading and capital transfer

Income from securities trading and capital transfer is determined as the excess of selling prices against the cost of securities sold. This income is recognised on date when the transaction arises, that is when the transfer contract is exercised.

Income from Business Cooperation Contracts in which the Company is entitled to profit before tax or profit after tax

Income from the profit before tax or profit after tax of real estate business under Business Cooperation Contracts is recognised as finance income in the interim consolidated income statement.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)****3.21 Construction contract**

Where the outcome of a construction contract can be estimated reliably, revenue and costs are recognised by reference to the stage of completion of the contract activity at the consolidated balance sheet date, as measured by reference to the work performed that has been agreed by customers. Variations in contract work, claims and incentive payments are included to the extent that they have been agreed with the customer.

Where the outcome of a construction contract cannot be estimated reliably, contract revenue is recognised to the extent of contract costs incurred that it is probable will be recoverable. Contract costs are recognised as expenses in the period in which they are incurred.

3.22 Taxation*Current income tax*

Current income tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted as at the interim consolidated balance sheet date.

Current income tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the current income tax is also dealt with in equity.

Current income tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to offset current tax assets against current tax liabilities and when the Company and its subsidiaries intend to settle their current tax assets and liabilities on a net basis.

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the interim consolidated balance sheet date between the tax base of assets and liabilities and their carrying amount for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences, except :

- ▶ where the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the related transaction affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of taxable temporary differences associated with investments in subsidiaries and associates, and interests in joint ventures where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credit and unused tax losses, to the extent that it is probable that taxable profit will be available against which deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilised, except:

- ▶ where the deferred tax asset in respect of deductible temporary difference which arises from the initial recognition of an asset or liability which at the time of the related transaction, affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of deductible temporary differences associated with investments in subsidiaries, associates, and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)**3.22 Taxation (continued)***Deferred tax (continued)*

The carrying amount of deferred tax assets is reviewed at consolidated balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Previously unrecognised deferred tax assets are re-assessed at consolidated balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled based on tax rates and tax laws that have been enacted at the interim balance sheet date.

Deferred tax is charged or credited to the interim consolidated income statement, except when it relates to items recognised directly to equity, in which case the deferred tax is also dealt with in the equity account.

Deferred tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to off-set current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority on:

- ▶ either the same taxable entity; or
- ▶ when the Company and its subsidiaries intend either settle current tax liabilities and assets on a net basis or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

3.23 Earnings per share

Basic earnings per share amounts are calculated by dividing net profit/(loss) after tax for the period attributable to ordinary shareholders of the Company (after adjusting for the bonus and welfare fund) by the weighted average number of ordinary shares outstanding during the period.

Diluted earnings per share amounts are calculated by dividing the net profit after tax attributable to ordinary equity holders of the Company (after adjusting for interest on the convertible preference shares) by the weighted average number of ordinary shares outstanding during the period plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

3.24 Segment information

A segment is a component determined separately by the Company and its subsidiaries which is engaged in providing products or related services (business segment), that is subject to risks and returns that are different from those of other segments.

Real estate trading and related services are principal sources of revenue and profit of the Company and its subsidiaries, while revenue from other activities accounts for a minimal portion in the Company and its subsidiaries' total revenue. Therefore, management is of the view that there is only one segment for business. In addition, management defines the Company and subsidiaries's geographical segments to be based on the location of the assets which is in Vietnam.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.25 Related parties

Parties are considered to be related parties of the Company and its subsidiaries if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operating decisions, or when the Company and its subsidiaries and other party are under common control or under common significant influence. Related parties can be enterprise or individual, including close members of the family of any such individual.

3.26 Bond issuance transaction cost

Transaction costs relating to bond issuance are charged to the consolidated income statement on a straight-line basis over the term of the bond. At initial recognition, these transaction costs are deducted from liability component of the bond.

4. CASH AND CASH EQUIVALENTS

Currency: Million VND

	31 March 2020	31 December 2019
Cash on hand	612	1,288
Cash at banks	992,493	2,786,932
Cash equivalents	3,446,751	10,544,079
TOTAL	4,439,856	13,332,299

Cash equivalents as at 31 March 2020 comprise bank deposits in VND with term ranging from 1 month to 3 months, earning interests at rates ranging from 3.9% to 5.5% per annum.

5. HELD TO MATURITY INVESTMENTS

Currency: Million VND

	31 March 2020		31 December 2019	
	Cost	Carrying value	Cost	Carrying value
Short-term bank deposits (i)	353,741	353,741	360,611	360,611
TOTAL	353,741	353,741	360,611	360,611

(i) Short-term bank deposits in VND as at 31 March 2020 have terms ranging from 4 months to 12 months and earning interest rates ranging from 5% to 7.1% per annum.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**6. TRADE RECEIVABLES AND ADVANCES TO SUPPLIERS****6.1 Short-term trade receivables**

Currency: Million VND

	31 March 2020	31 December 2019
Sale of inventory properties	6,539,018	7,456,476
Disposal of investments	2,639,565	694,000
Rendering construction services and related services	512,248	442,173
Rendering real estate management and other services	178,339	115,335
Leasing activities and rendering related services	95,126	103,360
TOTAL	9,964,296	8,811,344

In which:

Trade receivables from related parties (Note 32)	1,814,224	2,181,597
Trade receivables from other parties	8,150,072	6,629,747

6.2 Short-term advances to suppliers

Currency: Million VND

	31 March 2020	31 December 2019
Advances to other suppliers	9,321,150	8,788,192
Advances to related parties (Note 32)	17,931	14,544
TOTAL	9,339,081	8,802,736
Provision for doubtful advances to suppliers	(19,205)	(19,205)

7. LOAN RECEIVABLES

Currency: Million VND

Short-term	31 March 2020	31 December 2019
Loans to corporate counterparties	14,081,130	15,826,130
Current portion of long-term loan receivables	18,662	26,324
Loans to related parties (Note 32)	2,810,300	655,000
TOTAL	16,910,092	16,507,454
Provisions for doubtful loan receivables	(70,000)	(70,000)
Long-term		
Loans to related parties (Note 32)	5,723,900	7,862,900
Loans to corporate counterparties	21,620	1,000
TOTAL	5,745,520	7,863,900

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

8. OTHER SHORT-TERM RECEIVABLES

Currency: Million VND

	31 March 2020	31 December 2019
Short-term		
Capital contribution for Business and Investment Co-operation Contract (i)	4,231,705	4,231,792
Interest income on loans, deposits	3,127,642	2,713,198
Declared profit receivables from Business Co-operation Contracts (ii)	3,024,562	2,617,025
Receivables from payment, receipt on behalf	3,066,923	2,853,941
Advance for land clearance	2,174,968	427,590
Short-term deposits, mortgage	544,671	545,372
Others	793,592	76,720
TOTAL	16,964,063	13,465,638
<i>In which:</i>		
Receivables from other parties	8,961,038	6,765,972
Receivables from related parties (Note 32)	8,003,025	6,699,666
Provision for doubtful other short-term receivables	(30,102)	(29,991)
Long-term		
Receivable from long-term lease	128,453	127,886
Deposits for rental purpose	83,084	73,357
Interest income on long-term loans, deposits and bank deposits	198,890	39,647
Others	-	10,206
TOTAL	410,427	251,096
<i>In which:</i>		
Receivables from others	75,997	85,526
Receivables from related parties (Note 32)	334,430	165,570

(i) Balance as at 31 March 2020 includes mainly capital contribution of VND 3,890 billion to affiliates for the purpose of investing in some real estate projects under Business and Investment Co-operation Contracts.

(ii) Balance as at 31 March 2020 represents receivables for profit sharing from Business and Investment Co-operation Contracts with some entities within the Group for the purpose of investing in Vinhomes Riverside - The Harmony, Vinhomes Imperia Hai Phong, Vinhomes Star City Thanh Hoa and Vinhomes Skylake Projects. The total profit sharing from these contracts is presented in Note 27.2.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

9. BAD DEBTS

The Company and its subsidiaries' bad debts mainly include overdue loan principals and interest receivables from corporate counterparties:

Currency: Million VND

<i>Debtor</i>	<i>31 March 2020</i>		<i>31 December 2019</i>	
	<i>Cost</i>	<i>Recoverable amount</i>	<i>Cost</i>	<i>Recoverable amount</i>
Corporate counterparties	119,804	497	119,804	608
TOTAL	119,804	497	119,804	608

10. INVENTORIES

Currency: Million VND

	<i>31 March 2020</i>		<i>31 December 2019</i>	
	<i>Cost</i>	<i>Provision</i>	<i>Cost</i>	<i>Provision</i>
Inventory properties under construction (i)	56,038,160	-	54,949,401	-
Completed inventory properties	2,327,013	(5,330)	2,612,151	(8,578)
Inventories acquired for sales	549,156	(1,190)	578,709	(1,190)
Work in progress (ii)	2,407,503	-	1,845,763	-
Others	326,741	-	320,592	-
TOTAL	61,648,573	(6,520)	60,306,616	(9,768)

- (i) Mainly includes construction and development costs for apartments, villas and office for sale of Vinhomes Grand Park, Vinhomes Ocean Park, Vinhomes Smart City, Vinhomes Westpoint, Vinhomes Metropolis, Vinhomes Marina Projects.
- (ii) Includes the costs incurred related to the rendering of general constructor services to investors of real estate projects.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**11. PREPAID EXPENSES***Currency: Million VND*

	<i>31 March 2020</i>	<i>31 December 2019</i>
Short-term		
Selling expenses related to inventory properties not yet handed over	1,904,862	1,509,431
Provisional corporate income tax	401,278	357,764
Prepaid guarantee fee related to inventory properties not yet handed over	92,211	97,788
Others	97,162	124,262
TOTAL	2,495,513	2,089,245
Long-term		
Prepaid land rental expenses (i)	2,419,065	2,422,489
Prepaid villas rental	25,771	30,446
Tools and supplies	34,312	28,996
Repair and leasehold improvement	13,425	18,222
Others	22,766	11,553
TOTAL	2,515,339	2,511,706

- (i) These are mainly prepaid land rental fees for Vinhomes Ocean Park and Vinhomes Smart City Projects.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

12. OTHER ASSETS

Currency: Million VND

	31 March 2020	31 December 2019
Short-term		
Deposits for investment purpose (i)	18,397,913	15,292,913
TOTAL	18,397,913	15,292,913
<i>In which:</i>		
Deposits to others	9,748,513	6,643,513
Deposits to related parties (Note 32)	8,649,400	8,649,400
Long-term		
Deposits for investment purpose (i)	11,889,145	8,439,145
Deposits for trading purpose (ii)	1,032,336	1,032,336
TOTAL	12,921,481	9,471,481
<i>In which:</i>		
Deposits to others	1,032,336	1,032,336
Deposits to related parties (Note 32)	11,889,145	8,439,145

- (i) Comprises deposits to counterparties, some entities within the Group for acquisition of shares, capital or cooperation in development of real estate projects.
- (ii) Deposits to a counterparty earning interest rate which is determined by 12-month interest (paid in arrears) VND saving rate of Joint Stock Commercial Bank for Foreign Trade of Vietnam, adjusted each 3-month. The deposit and interest will be used as settlement for 10% of contract value under separate contracts between the Company and its subsidiaries and this counterparty.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

13. TANGIBLE FIXED ASSETS

	Currency: Million VND				
	Buildings and structures	Machinery and equipment	Means of transportation	Office equipment	Total
Cost:					
Beginning balance	387,731	194,103	77,675	9,813	678,311
Newly purchased and transferred from					
construction in progress	-	734	59	639	1,432
Acquisition of a new subsidiary	-	-	-	44	44
Sold, disposal	-	(1,431)	(71,144)	-	(72,575)
Ending balance	387,731	193,406	6,590	10,496	607,212
Accumulated depreciation:					
Beginning balance	16,727	8,304	18,198	4,241	53,573
Depreciation for the period	7,263	1,594	3,796	725	13,885
Acquisition of a new subsidiary	-	-	-	10	10
Sold, disposal	-	(714)	(21,121)	-	(21,835)
Ending balance	23,990	9,184	873	4,976	45,633
Net carrying amount:					
Beginning balance	371,004	185,799	59,477	5,572	624,738
Ending balance	363,741	184,222	5,717	5,520	561,579

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

14. INVESTMENT PROPERTIES

Currency: Million VND

	Land use rights, Buildings and structures	Machinery and equipment	TOTAL
Cost:			
Beginning balance	6,201,639	757,897	6,959,536
Newly purchased and transferred from construction in progress	5,772	-	5,772
Sold, disposal	(80,297)	-	(80,297)
Other decrease	(172,786)	(31,098)	(203,884)
Ending balance	5,954,328	726,799	6,681,127
Accumulated depreciation:			
Beginning balance	238,901	94,005	332,906
Depreciation for the period	29,816	9,917	39,733
Sold, disposal	(1,026)	-	(1,026)
Ending balance	267,691	103,922	371,613
Net carrying amount:			
Beginning balance:	5,962,738	663,892	6,626,630
Ending balance:	5,686,637	622,877	6,309,514

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

15. CAPITALISED BORROWING COSTS

During the period, the Company and its subsidiaries capitalised borrowing costs with an amount of approximately VND123 billion. These borrowing costs are mainly related to specific borrowings taken to finance the construction of Vinhomes Ocean Park, and Vinhomes Grand Park Project. The capitalised borrowing costs are determined by applying a capitalisation rate from 8.95% per annum to 10.45% per annum.

16. CONSTRUCTION IN PROGRESS

Currency: Million VND

	<i>Beginning balance</i>	<i>Ending balance</i>
Vinhomes Long Beach Can Gio Project	12,461,713	12,453,085
Vinhomes Grand Park Project	4,390,177	4,183,547
Hooc Mon Urban Project	4,096,772	4,092,295
Leman Golf Course & Villa Cu Chi Project	1,698,193	1,688,815
Vinhomes Ocean Park Project	1,661,857	1,130,702
Vinhomes Smart City Project	1,473,631	1,466,565
Vinhomes Ky Hoa Project	1,144,420	1,141,329
Vinhomes Golden River Project	840,633	839,811
Other Projects	1,229,367	1,216,378
TOTAL	28,996,763	28,212,527

17. LONG-TERM INVESTMENTS

Currency: Million VND

	<i>31 March 2020</i>		<i>31 December 2019</i>	
	<i>Cost</i>	<i>Provision</i>	<i>Cost</i>	<i>Provision</i>
Investments in other entities (Notes 17.1)	2,738,270	-	558,632	-
Held-to-maturity investments (i)	214,680	-	214,680	-
TOTAL	2,952,950	-	773,312	-

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**17. LONG-TERM INVESTMENTS (continued)**

(i) Represents investments in bonds of banks as below:

<i>Underwriter</i>	<i>Ending balance</i>	<i>Maturity</i>	<i>Interest</i>
Joint Stock Commercial Bank for Investment and Development of Vietnam	100,000	November 2025	The average of 12-month interest paid-in- arrear VND saving rate for individual from four reference banks plus 1.3% per annum.
Joint Stock Commercial Bank for Foreign Trade of Vietnam	50,000	November 2026	Interest rate of 7.57% per annum for the first year. The interest rate from the following years is equal to the 12-month interest paid-in-arrear VND saving rate for individual plus 1% per annum.
Joint Stock Commercial Bank for Investment and Development of Vietnam	49,680	December 2028	The average of 12-month interest paid-in-arrear VND saving rate for individual plus 1% per annum.
Vietnam Joint Stock Commercial Bank for Industry and Trade	15,000	October 2026	The average of 12-month interest paid-in-arrear VND saving rate for individual from four reference banks plus 1% per annum
TOTAL	214,680		

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**17. LONG-TERM INVESTMENTS (continued)****17.1 Investments in other entities**

	31 March 2020				31 December 2019			
	Number of shares	Voting right (%)	Equity interest (%)	Amount (*) (Million VND)	Number of shares	Voting right (%)	Equity interest (%)	Amount (Million VND)
MV Vietnam Real Estate Trading JSC	217,963,747	19.82%	19.82%	2,179,638				
Thang Long Real Estate Trading Investment JSC	500,000	10%	10%	13,500	500,000	10%	10%	13,500
Xavinco Land JSC ("Xavinco JSC")	2,000,000	1%	1%	22,223	2,000,000	1%	1%	22,223
Phat Loc LLC	(**)	-	51%	342,909	(**)	-	51%	342,909
SV Real Estate JSC	11,000,000	4%	4%	110,000	11,000,000	4%	4%	110,000
SV West Hanoi Real Estate JSC	7,000,000	4%	4%	70,000	7,000,000	4%	4%	70,000
TOTAL				2,738,270				558,632

(*) As at 31 March 2020, the Company did not determine fair value of these investment because shares of these companies are not listed on the stock market.

(**) These are limited liability companies. As at 31 March 2020, the Company no longer controls or has significant influence over Phat Loc LLC. Therefore, the Company presented this investment as other long-term investment.

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued) Quarter I 2020

18. GOODWILL

Currency: Million VND

	Goodwill arising from acquisition of					TOTAL
	Ecology JSC	Vietnam Investment JSC	Gia Lam LLC	Vinhomes Management JSC (*)	Tan Lien Phat JSC (*)	Millenium LLC
Cost:						
Beginning balance	369,867	288,149	1,235	115,728	337,767	153,044
Ending balance	369,867	288,149	1,235	115,728	337,767	153,044
Accumulated amortisation:						
Beginning balance	112,480	87,629	375	22,162	64,685	24,278
Amortisation for the period	9,221	7,184	31	2,885	8,421	3,817
Ending balance	121,701	94,813	406	25,047	73,106	28,095
Net carrying amount:						
Beginning balance	257,387	200,520	860	93,566	273,082	128,766
Ending balance	248,166	193,336	829	90,681	264,661	124,949
						922,622

(*) These companies were merged into the Company in 2018.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**19. SHORT-TERM TRADE PAYABLES AND ADVANCES FROM CUSTOMERS****19.1 Short-term trade payables**

Currency: Million VND

	31 March 2020	31 December 2019
Short-term trade payables	6,705,590	5,530,445
- A corporate counterparty rendering construction service	767,364	652,470
- Others	5,938,226	4,877,975
Trade payables to related parties (Note 32)	536,571	547,879
TOTAL	7,242,161	6,078,324

19.2 Advances from customers

Currency: Million VND

	31 March 2020	31 December 2019
Advances from customers under sales and purchase agreements (i)	40,867,153	39,843,431
Advances from customers for construction services	354,681	402,268
TOTAL	41,221,834	40,245,699

In which:

Advances from others	41,144,637	40,203,079
Advances from related parties (Note 32)	77,197	42,620

- (i) This mainly represents advances to purchase apartments, villas and shophouses in Vinhomes Ocean Park, Vinhomes Smart City, Vinhomes Grand Park, Vinhomes West Point and Vinhomes Metropolis projects from customers who signed sales and purchase agreements with the Company and its subsidiaries.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

20. STATUTORY OBLIGATIONS

Currency: Million VND				
	<i>Beginning balance</i>	<i>Payable for the period</i>	<i>Payment made in the period</i>	<i>Ending balance</i>
Payables				
Corporate income tax	1,926,657	2,364,728	(1,620,213)	2,671,172
Value added tax	114,553	211,322	(182,514)	143,361
Other taxes	54,086	69,656	(103,001)	20,741
TOTAL	2,095,296	2,645,706	(1,905,728)	2,835,274
	<i>Beginning balance</i>	<i>Receivable for the period</i>	<i>Offset during the period</i>	<i>Ending balance</i>
Receivables				
Value added tax	673,229	346,120	(6,998)	1,012,351
Corporate income tax	41,696	-	(20,197)	21,499
Other taxes	237	72	-	309
TOTAL	715,162	346,192	(27,195)	1,034,159

21. ACCRUED EXPENSES

Currency: Million VND		
	<i>31 March 2020</i>	<i>31 December 2019</i>
Short-term		
Accrued costs for completed investment properties and handed over inventories properties	4,259,551	3,489,249
Accrued construction costs	1,892,693	1,604,205
Accrued interest expenses	759,904	655,274
Accrued commission fees and other expenses related to inventory properties	662,284	1,031,847
Others	1,313,006	1,059,336
TOTAL	8,887,438	7,839,911
<i>In which:</i>		
Short-term accrual to others	8,831,209	7,820,481
Short-term accrual to related parties (Note 32)	56,229	19,430
Long-term		
Accrued interest expenses to others	413,830	370,071
Accrued interest expenses to related parties (Note 32)	236,676	218,814
TOTAL	650,506	588,885

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

22. DEFERRED REVENUE

Currency: Million VND

	31 March 2020	31 December 2019
Short-term		
Deferred revenue from real estate management service	413,049	439,862
Deferred revenue from leasing service	90,714	25,834
	503,763	465,696
Long-term		
Deferred revenue from real estate management service	1,250,360	1,286,692
Deferred revenue from leasing service	211,281	247,858
	1,461,641	1,534,550
TOTAL	1,965,403	2,000,246

23. OTHER PAYABLES

Currency: Million VND

	31 March 2020	31 December 2019
Short-term		
Deposits and other agreements related to real estate projects	37,104,960	36,356,311
Apartment maintenance funds (i)	1,192,827	1,208,885
Deposits under Business and Investment Co-operation Contracts (ii)	1,056,915	904,000
Deposits for shares transfer	561,000	6,719,985
Deposits from brokerage agents and tenants	160,283	219,413
Dividend payables	160,252	156,657
Receipt on behalf payables	20,186	104,690
Others	496,115	999,633
TOTAL	40,752,538	46,669,574
<i>In which:</i>		
Other short-term payable to others	39,421,560	45,169,429
Other short-term payables to related parties (Note 32)	1,330,978	1,500,145

- (i) This pertains to maintenance fund held on behalf of customers, which will be transferred to Building Management Boards. The Company and its subsidiaries are maintaining these fund in cash equivalents and held-to-maturity investment.
- (ii) These pertain to deposits from some entities within the Group to the Company pursuant to Business and Investment Co-operation Contracts for purpose of operating and transfer co-operation of shopping mall and school components of Vinhomes Grand Park Project, Vinhomes Smart City Project, Vinhomes Ocean Park Project, Vinhomes Long Beach Can Gio Project and Vinhomes Central Park Project. The deposits are bearing interest at 10% per annum.

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued) Quarter I 2020

24. LOANS AND DEBTS

	31 March 2020		31 December 2019	
	Cost	Payable amount	Cost	Payable amount
Short-term				
Loans from banks (Note 24.1) (i)	5,370,175	5,370,175	3,894,815	3,894,815
Loans from counterparties (Note 24.2)	1,960,000	1,960,000	1,960,000	1,960,000
Corporate bonds (Note 24.3) (i)	12,338,646	12,338,646	12,307,539	12,307,539
	19,668,821	19,668,821	18,162,354	18,162,354
Long-term				
Corporate bonds (Note 24.3) (ii)	2,781,612	2,781,612	2,776,927	2,776,927
Loans from banks (Note 24.1) (ii)	-	-	1,371,098	1,371,098
Loans from counterparties (Note 24.2)	3,382,000	3,382,000	3,390,000	3,390,000
Loans from related parties (Note 32)	794,000	794,000	805,000	805,000
	6,957,612	6,957,612	8,343,025	8,343,025
TOTAL	26,626,433	26,626,433	26,505,379	26,505,379

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

24. LOANS AND DEBTS (continued)

24.1 Loans from banks

(i) Detail of short-term loans from bank is presented as below:

<i>Lender</i>	<i>Ending balance (Million VND)</i>	<i>Principal repayment term</i>	<i>Interest rate</i>	<i>Collateral</i>
Vietnam Technology and Commercial Joint Stock Bank	3,700,000	July and August 2020	8.95% per annum	Project development right, receivables, bank balance related to a project and other collateral as agreed between the parties.
Vietnam Technology and Commercial Joint Stock Bank	1,371,098	January 2021	Interest rate for the first installment is 10%/per annum. The interest rate for the following installments is the average 12-month interest paid-in-arrear of the 4 banks	The contributed capital of one subsidiary and other collaterals.
Military Commercial Joint Stock Bank	282,444	April 2020	(+)3.33%/per annum. Interest rate is determined by 12-month saving interest rate VND of the bank (+) 0.7% per annum	None
Vietnam Prosperity Joint Stock Commercial Bank	16,633	May 2020	9.3% per annum	Shares of the Company and some entities within the Group.
TOTAL	5,370,175			

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

24. LOANS AND DEBTS (continued)

24.2 Loans from corporate counterparties

Loans from corporate counterparties comprises:

- ▶ Short-term loans from counterparties with total principal of VND1,960 billion, bearing the interest rate 9% per annum with maturity date from September 2020 to October 2020.
- ▶ Long-term loans from counterparties with total principal of VND3,382 billion, bearing the interest rate of 9% per annum with maturity date in October 2021.

24.3 Corporate bonds

(i) Current portion of long-term corporate bonds

<i>Underwriter</i>	<i>Ending balance</i>	<i>Maturity</i>	<i>Interest rate</i>	<i>Collateral</i>
Techcom Securities Joint Stock Company	5,478,915	October 2020	Interest rate for the two first periods is 9.2% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrear VND saving rate from Vietnam Technological and Commercial Joint Stock Bank in this period (+) 3.25% per annum.	(*)
	4,976,781	September 2020	Interest rate for the two first periods is 10% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrear VND saving rate (+) 4% per annum.	None
	1,882,950	December 2020	Interest rate for the first period is 9.73% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrear VND saving rate (+) 2.9% per annum.	(**)
TOTAL	12,338,646			

(*) Collateral of this bond includes an ecotourism and park project.

(**) Collateral for this bond includes a real estate project.

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued) Quarter I 2020

24. LOANS AND DEBTS (continued)

24.3 Corporate bonds

(ii) Long-term corporate bonds

Underwriter	Ending balance	Maturity	Interest rate	Collateral
Techcom Securities Joint Stock Company	1,983,542	August 2021	Interest rate for first and second period is 10% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrears VND saving rate (+) 4.25% per annum.	None
KB Securities Vietnam Joint Stock Company	798,070	November 2021	Interest rate for first and second period is 10.2% per annum. Interest rate for the following periods is calculated as 12-month interest paid-in-arrears VND saving rate from (+) 3.3% per annum.	(***)
TOTAL	2,781,612			

(***) Collateral of this bond includes a number of shares, a real estate project and asset rights arising from BT contract.

25. PROVISIONS

This represents provision for repairing costs for inventory properties in accordance with the warranty clause in sales and purchase agreements.

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NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued) Quarter I 2020

26. OWNERS' EQUITY

26.1 Increase and decrease in owners' equity

	Attributable to shareholders of the parent					Non-controlling interests	Total
	Issued share capital	Treasury shares	Share premium	Other funds belonging to owners' equity	Undistributed earnings		
Quarter I 2019							
As at 1 January 2019	33,495,139	-	295,000	1,816,269	7,626,959	4,911,507	48,144,874
- Net profit for the year	-	-	-	-	2,540,181	146,868	2,687,049
- Disposal of a subsidiary	-	-	-	-	-	(76,094)	(76,094)
As at 31 March 2019	33,495,139	-	295,000	1,816,269	10,167,140	4,982,281	50,755,829
Quarter I 2020							
As at 1 January 2020	33,495,139	(5,549,929)	295,000	1,816,269	26,039,678	8,618,886	64,715,043
- Net profit for the period	-	-	-	-	6,843,831	801,234	7,645,065
- Increase of equity interest in existing subsidiaries	-	-	-	(16,941)	-	(873)	(17,814)
- Cash dividends	-	-	-	-	-	(3,715)	(3,715)
As at 31 March 2019	33,495,139	(5,549,929)	295,000	1,799,328	32,883,509	9,415,532	72,338,579

Currency: Million VND

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**26. OWNERS' EQUITY (continued)****26.2 Ordinary shares and preference shares**

	31 March 2020	31 December 2019
	<i>Unit: Share</i>	
Authorised shares	3,349,513,918	3,349,513,918
Issued shares	3,349,513,918	3,349,513,918
<i>Ordinary shares</i>	3,349,513,918	3,349,513,918
<i>Preference shares</i>	-	-
Treasury shares acquired	60,000,000	60,000,000
<i>Ordinary shares</i>	60,000,000	60,000,000
<i>Preference shares</i>	-	-
Shares in circulation	3,289,513,918	3,289,513,918
<i>Ordinary shares</i>	3,289,513,918	3,289,513,918
<i>Preference shares</i>	-	-

The par value of outstanding shares: VND10,000 per share.

27. REVENUES**27.1 Revenue from sale of goods and rendering of services**

	Quarter I 2020	Quarter I 2019
	<i>Currency: Million VND</i>	
Gross revenue	6,519,224	5,852,605
<i>In which:</i>		
Revenue from sales of inventory properties	5,717,160	4,836,911
Revenue from rendering real estate management and related services	366,364	308,319
Revenue from leasing activities and rendering related services	278,039	298,998
Revenue from general contractor services, construction supervision and designing services	49,096	-
Others	108,565	408,377
Deductions	-	-
Net revenue	6,519,224	5,852,605

27.2 Finance income

	Quarter I 2020	Quarter I 2019
	<i>Currency: Million VND</i>	
Income from Business and Investment Co-operation Contracts (i)	411,128	999,390
Gains from transfer of investments (ii)	7,508,566	1,491,977
Interest income from deposits, loans, others	671,270	448,547
TOTAL	8,590,964	2,939,914

(i) Income from Business and Investment Co-operation Contract with Vingroup JSC and a subsidiary for the development of Vinhomes Riverside - The Harmony, Vinhomes Imperia Hai Phong, Vinhomes Star City Thanh Hoa and Vinhomes Skylake.

(ii) Income from transfer of investments in subsidiary owning a part of a real estate project.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**28. COST OF GOODS SOLD AND SERVICES RENDERED**

Currency: Million VND

	Quarter I 2020	Quarter I 2019
Cost of inventory properties sold	2,965,769	3,808,975
Cost of rendering real estate management and related services	363,083	296,246
Cost of leasing activities and other related costs	184,118	192,898
Cost of general contractor services, construction supervision and designing services	36,277	182,233
Othes	21,095	43,558
TOTAL	3,570,342	4,523,910

29. FINANCE EXPENSES

Currency: Million VND

	Quarter I 2020	Quarter I 2019
Loan interest and bond issuance costs	618,346	495,429
Other finance expenses	15,788	11,378
TOTAL	634,134	506,807

30. SELLING EXPENSES AND GENERAL AND ADMINISTRATIVE EXPENSES

Currency: Million VND

	Quarter I 2020	Quarter I 2019
Selling expenses		
Commission, advertising and marketing fees	145,297	185,107
Labour costs	62,065	31,867
Others	37,498	15,920
	244,860	232,894
General and administrative expenses		
Labour costs	57,846	34,469
Depreciation and goodwill amortization	41,697	35,664
Expenses for external services	5,809	14,232
Others	427,928	109,510
	533,280	193,875
TOTAL	778,140	426,769

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**31. CORPORATE INCOME TAX**

The current corporate income tax ("CIT") rate applicable to the Company and its subsidiaries is 20% of taxable profits (2019: 20%).

The tax returns filed by the Company and its subsidiaries are subject to examination by the tax authorities. As the application of tax laws and regulations is susceptible to varying interpretations, the amounts reported in the interim consolidated financial statements could be changed at a later date upon final determination by the tax authorities.

Tax expenses

	<i>Currency: Million VND</i>	
	<i>Quarter I 2020</i>	<i>Quarter I 2019</i>
Current tax expense	2,337,395	573,865
Deferred tax expense	141,088	97,291
TOTAL	2,478,483	671,156

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**32. BALANCES WITH RELATED PARTIES**

Amounts due to and due from related parties as at 31 March 2020 and 31 December 2019 were as follows:

			Currency: Million VND	
			31 March 2020	31 December 2019
<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>		
Trade receivables (Note 6.1)				
Vingroup JSC	Parent company	Receivables from general contractor services and supervision services	176,341	153,576
		Other receivables	19,664	-
Vinmec LLC	Affiliate	Receivables from share transfer	-	694,000
		Other receivables	14,839	7,552
Vincom Retail JSC	Affiliate	Receivables from general contractor services and supervision services	16,557	14,074
		Receivables from sales of inventory properties	1,221,280	1,028,007
		Other receivables	2,882	11,993
Vinschool LLC	Affiliate	Receivables from sharing revenue from education activity and related service	13,642	12,597
Vinpearl JSC	Affiliate	Receivables from sales of inventory properties	133,354	76,999
		Other receivables	23,134	40,560
VinAcademy LLC	Affiliate	Receivables from sale of inventory properties	76,000	76,000
		Other receivables	1,803	1,212
Kind Heart Foundation	Under common owner	Receivables from general contractor services	34,078	33,902
Other affiliates		Other receivables	80,650	31,125
			1,814,224	2,181,597

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**32. BALANCES WITH RELATED PARTIES** (continued)

Amounts due to and due from related parties as at 31 March 2020 and 31 December 2019 were as follows (continued):

			<i>Currency: Million VND</i>	
			<i>31 March 2020</i>	<i>31 December 2019</i>
<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>		
Advance to suppliers (Note 6.2)				
VinID JSC	Affiliate	Advance to suppliers	-	6,804
Other affiliates		Advance to suppliers	17,931	7,740
			17,931	14,544
Other short-term receivables (Note 8)				
Vingroup JSC	Parent company	Capital contribution for Business and Investment Co-operation Contract ("BCC")	3,400,230	3,400,230
		Receivables from shared profit under the BCC	1,385,359	1,006,857
		Receivables from payment on behalf	134,632	100,972
Central Park LLC	Affiliate	Capital contribution for BCC	490,000	490,000
		Receivables from shared profit under the BCC	1,639,204	1,610,168
		Other receivables	22,754	18,714
VinAcademy LLC	Affiliate	Receivables from payment on behalf	41,781	41,781
Other affiliates		Other receivables	889,065	30,944
			8,003,025	6,699,666
Other long-term receivables (Note 8)				
Vinsmart JSC	Affiliate	Interest receivables	73,835	18,221
Vinpearl JSC	Affiliate	Interest receivables	94,446	13,529
Vincom Retail JSC	Affiliate	Receivables from leasing	128,453	127,886
Other affiliates		Other receivables	37,696	5,934
			334,430	165,570

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

32. BALANCES WITH RELATED PARTIES (continued)

Amounts due to and due from related parties as at 31 March 2020 and 31 December 2019 were as follows (continued):

Currency: Million VND

<i>Related parties</i>	<i>Relationship</i>	<i>Transactions</i>	<i>31 March 2020</i>	<i>31 December 2019</i>
Other current assets (Note 12)				
Vingroup JSC	Parent company	Deposits for share transfer and investment purpose	5,789,142	5,789,142
Vinacademy LLC	Affiliate	Deposits for investment purpose	2,790,000	2,790,000
Sai Dong JSC	Affiliate	Deposit for share transfer	70,258	70,258
			8,649,400	8,649,400
Other non-current assets (Note 12)				
Vingroup JSC	Parent company	Deposit for share transfer and investment purpose	11,889,145	8,439,145
			11,889,145	8,439,145
Trade payables (Note 19.1)				
Vingroup JSC	Parent company	Management fee payables	391,961	487,662
		Other trade payables	47,955	28,381
Vincom Retail JSC	Affiliate	Payables for purchased goods and services	3,445	13,242
Vinfast LLC	Affiliate	Payables for purchased goods	49,841	-
Vinpearl JSC	Affiliate	Payables for purchased goods	10,506	-
Other affiliates		Other trade payables	32,863	18,594
			536,571	547,879
Short-term advances from customers (Note 19.2)				
Vingroup JSC	Parent company	Advance for construction activities	33,001	-
Vinschool LLC	Affiliate	Advance for construction activities	44,196	34,725
Other affiliates		Other advances from customers	-	7,895
			77,197	42,620

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020**32. BALANCES WITH RELATED PARTIES (continued)**

Amounts due to and due from related parties as at consolidated balance sheet dates were as follows (continued):

			Currency: Million VND	
Related parties	Relationship	Transactions	31 March 2020	31 December 2019
Short-term accrued expense (Note 21)				
Vincom Retail JSC	Affiliate	Interest payables	12,384	10,298
VinTech JSC	Affiliate	Sponsor fee payables	43,845	8,878
Other affiliates		Other accrued expenses	-	254
			56,229	19,430
Long-term accrued expense (Note 21)				
Xavinco JSC	Affiliate	Interest payables	159,891	151,473
Xalivico JSC	Affiliate	Interest payables	76,785	67,341
			236,676	218,814
Other short-term payables (Note 23)				
Vinschool LLC	Affiliate	Deposit for BCC	200,000	200,000
		Other payables	67,081	72,497
Vinpearl JSC	Affiliate	Other payables	891	2,194
Vincom Retail JSC	Affiliate	Deposit for BCC	856,915	704,000
		Other payables	27,401	14,391
Central Park LLC	Affiliate	Dividend payable	153,900	-
		Other payables	1,104	-
Kind Heart Foundation	Under common owner	Payables for charitable purpose	-	\$500,000
Other affiliates		Other payables	23,686	7,063
			1,330,978	1,500,145

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

32. BALANCES WITH RELATED PARTIES (continued)

Details of lendings to related parties

Details of short-term lendings as at 31 March 2020 (Note 7):

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate</i>	<i>Maturity</i>	<i>Collateral</i>
Vinsmart Research and Manufacturing JSC	Affiliate	1,465,000	9%	January to March 2021	(i)
Central Park LLC	Affiliate	130,000	9%	Novemeber 2020	(i)
Thang Long Investment and Trading Property JSC	Affiliate	4,500	9%	March 2021	(i)
Vinfast LLC	Affiliate	1,210,000	9%	February 2021	(i)
Other affiliates	Affiliate	800	9%	December 2020	(i)
		2,810,300			

Details of short-term lendings as at 31 December 2019 (Note 7):

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate</i>	<i>Maturity</i>	<i>Collateral</i>
Central Park LLC	Affiliate	655,000	9%	December 2020	(i)
		655,000			

(i) This lending is secured by shares of an entity within the Group.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

32. BALANCES WITH RELATED PARTIES (continued)

Details of lendings to related parties (continued)

Details of long-term lendings as at 31 March 2020:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate</i>	<i>Maturity</i>	<i>Collateral</i>
Vinpearl JSC	Affiliate	4,816,900	9%	May - November 2021	(i)
Vinsmart JSC	Affiliate	250,000	9%	May 2021	(ii)
Central Park LLC	Affiliate	625,000	9%	May 2021	(iii)
South Hanoi Urban Trading and Development LLC.	Affiliate	32,000	9%	May 2021	(iii)
		5,723,900			

Details of long-term lendings as at 31 December 2019:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount (million VND)</i>	<i>Interest rate</i>	<i>Maturity</i>	<i>Collateral</i>
Vinfast LLC	Affiliate	1,650,000	9%	February 2021	(iii)
Vinpearl JSC	Affiliate	3,957,900	9%	February 2021	(i)
Vinsmart JSC	Affiliate	2,255,000	9%	February 2021	(ii)
		7,862,900			

- (i) The lending is secured by fixed assets of this borrower.
- (ii) The lending is secured by capital contribution in this borrower.
- (iii) The lending is secured by a number of listed shares and capital contribution of this borrower.

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

32. **BALANCES WITH RELATED PARTIES** (continued)

Details of borrowings from related parties (Note 24)

Details of long-term borrowings as at 31 March 2020:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity</i>	<i>Collateral</i>
Xavinco JSC	Affiliate	420,500	9%	July 2021	(i)
Xalivico LLC	Affiliate	373,500	9%	July 2021	(i)
		794,000			

Details of long-term borrowings as at 31 December 2019:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount million VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collateral</i>
Xalivico LLC	Affiliate	422,500	9%	July 2021	(i)
Xavinco JSC	Affiliate	382,500	9%	July 2021	(i)
		805,000			

(i) These loans are secured by shares of the Company in a subsidiary.

33. **EARNINGS PER SHARE**

The following reflects the income and share data used in the basic and diluted earnings per share computations:

	<i>Currency: VND</i>	
	<i>Current year</i>	<i>Previous year</i>
Net profit after tax attributable to ordinary shareholders	6,843,830,708,930	2,540,181,452,387
Adjust for the effect of dilution	-	-
Net profit attributable to ordinary shareholders adjusted for the effect of dilution	6,843,830,708,930	2,540,181,452,387
Weighted average number of ordinary shares (excluding treasury shares) for basic earnings per share	3,289,513,918	3,349,513,918
Adjust for effect of dilution	-	-
Weighted average number of ordinary shares (excluding treasury shares) for basic earnings per share	3,289,513,918	3,349,513,918
Basic earnings per share	2,080	758

NOTES TO THE INTERIM CONSOLIDATED FINANCIAL STATEMENTS (continued)
Quarter I 2020

34. EVENTS AFTER THE BALANCE SHEET DATE

There is no matter or circumstance that has arisen since the interim consolidated balance sheet date that requires adjustment or disclosure in the interim consolidated financial statements of the Company and its subsidiaries.



Bui Tien Luc
Preparer



Nguyen Huu Thanh
Chief Accountant



Le Thi Hai Yen
Chief Financial Officer

Hanoi, Vietnam

27 April 2020